

HEADLINE JUDGMENT

Score HOLDS at 27/30 for an eighth consecutive edition. No channel moved. The single most important fact in this edition is that **almost every financial reading the last edition published was reversed by the close of the same session.** The 14 August Singapore-morning snapshot missed the entire US day in one direction: Brent settled **\$1.29 above** the intraday print carried, and the 5- to 30-year sector settled **4.2 to 4.6 bp above** the yields carried and the 2-year by 1.9. Concretely, and each of these is a claim made on Friday that has to be withdrawn today: **5Y5Y did not stay below 2.30% — it closed 2.3094% on 14 August, back above the trigger that fired the US-inflation channel, after exactly ONE close beneath it; BE10 did not close below its pre-war anchor — it closed 2.2835%, moving from 0.21 bp above the anchor to 2.66; Stage-4 Threshold B did not stay lapsed — it RE-ARMED on the very next close, a fourth arming since 29 July; and the 30-year did not hold below its own auction stop — it closed 5.2593%, 4.33 bp ABOVE the 5.216% it cleared at on Thursday, having closed 0.35 bp below it the day before.** Section 9.18 of this monitor's own pitfalls list warned that a satisfied leg can lapse after one session; this is the fifth vindication of that rule in three weeks, and the first time it has caught a de-risking narrative rather than a stress one. **What makes Friday's sell-off analytically important is the data it happened against.** July retail sales fell **0.6% against a +0.1% consensus, the worst month since May 2025,** and preliminary August University of Michigan sentiment printed **51.0 against 54.5 expected, down from 55.2.** On any ordinary risk-off day that is a bond rally. Instead the long end sold off nearly five basis points, and **the one component of the Michigan survey that rose was year-ahead inflation expectations, 4.2% to 4.3%.** A market that sells duration into a demand miss is not trading US growth; it is trading the term premium and the price of oil. **Meanwhile the physical channel got worse in the same direction.** UKMTO's first two-day nil return of the war, published Thursday, was broken within twenty-four hours: **Update 085 records THREE confirmed attacks — two tankers struck overnight on 14 August while outbound in OMANI TERRITORIAL WATERS, and a bulk carrier struck inbound on 15 August — taking the cumulative count from 86 to 89,** and the **UAE Foreign Ministry publicly named Iran,** calling the attacks on two ADNOC-affiliated vessels 'piracy'. **CENTCOM's blockade tally rose again, 59 to 62 redirected as of 14 August.** Kpler counted **two Hormuz transits on Friday with no crude shipments visible at all, five on Saturday and ZERO on Sunday — five for the weekend against 31 the weekend before.** The one genuinely new thing on the diplomatic track cuts the other way, and it is narrow but real: Iran's foreign ministry said on 15 August that **Tehran and Muscat have agreed a shipping route map for the strait.** Araghchi capped it the same day — the agreement **'is a separate issue'** from reopening, contact with Qatari and Pakistani mediators **'does not constitute negotiation',** and **'we have not yet made a decision to resume negotiations with the US'** — and Washington is not a party to it. **The reconciling item, and the answer to why Brent is \$88 rather than \$110 with effective OPEC spare capacity at 0.07 mb/d, acquired a name this weekend.** Bloomberg reported on 16 August, from EU Sentinel-1 satellite data, that **roughly 150 ships are now floating off Oman awaiting ship-to-ship transfer against about 40 in January, that sixteen Saudi Bahri VLCCs holding 38 million barrels of capacity are positioned off Oman with three more inbound, that ADNOC has sold about 135 million barrels, and that dark-shuttle volumes through the strait are running above the market's ~4 mb/d estimate.** The strait is not carrying trade. It is carrying a covert relay — and the relay runs through the territorial waters of the state that is mediating, in vessels that are being shot at. **Sequencing 27 → 27 → 27.**

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

17 Aug 2026 readings are intraday prints from the Singapore Monday morning. **The 14 Aug row has settled with true closes and the integrity check clears —** every field that printed moved and MOVE and VIX, blank on Friday, have backfilled (SOFR and both gasoline series stay blank for 14 Aug). d/d is 17 Aug intraday vs the 14 Aug close; **w/w for every series runs against the 10 Aug close** (five sheet-rows back), so the two bases do not diverge this edition. vs-pre-war is against the 27 Feb 2026 close, re-verified field by field and unchanged. Restated continuation series (front-month CO2/CL2) in force. **Basis note, new and load-bearing:** the press quotes the ACTIVE contract, and ICE Brent settled **\$88.52** on 14 August with NYMEX WTI at **\$82.40** — figures that match this extract's COA and CLA columns to the cent. The scored CO2 continuation prints \$1.95 lower. Reports of '\$88 Brent' and this document's \$86.57 are the same market, not a discrepancy.

Benchmark	Intraday 17 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$86.43 /bbl (H 86.90 / L 85.95)	−\$0.14 (+\$0.54 w/w vs 10 Aug)	from \$72.48 (+19.3%) — a \$13.95/bbl premium . The overnight range is 95 cents and the Monday tone is flat-to-firm after a Friday that added \$1.35. Active COA prints \$88.49, against an \$88.52 settlement	CO2 Comdty (Close)
Brent · 14 Aug close (last confirmed — the scoring reference)	\$86.57 /bbl	+\$1.35 vs the 13 Aug close \$85.22	It leaves the channel \$8.43 below the \$95 upgrade trigger and \$14.09 above the \$72.48 downgrade anchor — against \$9.78 and \$12.74 in the last edition. The upgrade gap NARROWED by \$1.35 and the downgrade gap widened by the same amount, exactly reversing last week. On the active contract the upgrade leg is only \$6.48 away. Bloomberg puts Brent up almost 6% over the week to 15 Aug, which is a 7 Aug base; on this document's declared 10 Aug w/w base it is +0.8%. Still \$31.78 below the 31 Mar war high of \$118.35	CO2 Comdty (Close)
Brent · 14 Aug reconciliation vs the intraday published on Friday	\$86.57 vs \$85.28 carried	gap +\$1.29	The snapshot missed the whole US session and it missed in one direction across every asset. Running gap series: −\$0.84, +\$1.97, −\$0.47, −\$3.99, +\$0.10, +\$2.26, +\$0.72, +\$0.87, −\$0.13, +\$1.29 . The drivers wire services cited for Friday's session were the ADNOC tanker attacks, Bessent trailing sanctions 'like have never been seen', and a Ukrainian drone halt to Russian loadings at Novorossiysk, with Thursday's Hegseth remarks and Houthi strike on Aramco's Jazan refinery still being priced. The Singapore cut had seen none of the Friday items. \$9.17: a quiet reconciliation is no evidence the next one will be quiet — the previous gap was 13 cents	CO2 Comdty (Close)

Benchmark	Intraday 17 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
WTI front-month	\$81.35 /bbl	−\$0.12 (+\$0.19 w/w)	from \$67.02 (+21.4%) — the 14 Aug close of \$81.47 rose \$1.03, less than Brent in both dollars and per cent. CLA prints \$82.19 against CL2's \$81.35; the continuation artifact persists	CL2 Comdty (Close)
Brent–WTI spread	\$5.08 /bbl front	\$5.10 on the 14 Aug close, from \$4.78	\$6.30 on the active contracts intraday — the widest reading since 5 May , and \$6.12 on Friday's close, from \$5.82. Wider on nine of the last ten sessions (3.59, 4.23, 5.20, 5.37, 5.59, 5.71, 5.71, 5.82, 6.12, 6.30). This remains the cleanest single price in the document: it widened on a session when crude ROSE \$1.35, which a general risk-on in oil would narrow and a Hormuz-specific routing dislocation does not	derived
Henry Hub natural gas	\$2.660 /MMBtu	−\$0.073 (−\$0.134 w/w)	from \$3.06 (− 13.2%) — two cents above the \$2.640 war low of 6 August and falling while every other energy price rises. On this extract's own numbers Henry Hub is down 7.5% against its 17 July level while TTF is up 8.0% on the same base. This remains the cleanest evidence in the document that the shock is a Hormuz routing dislocation and not a global-energy shock	NGA Comdty (Close)
TTF Dutch gas (active)	€62.110 /MWh	+€0.686 (+€1.312 w/w)	from €31.23 (+98.9%) — within a rounding error of doubling. The 14 Aug close of €61.424 was the highest since 24 July and the intraday print puts the €63.649 war record €1.54 away , closer than at any time since it was set. Cited drivers: Qatari LNG cargo delays forcing European buyers to bid against Asia, storage at only about 59% full against a five-year average roughly 22 points higher, and Southern and Central European heat. European gas has now risen on the week in which the financial complex rallied	TZTA Comdty (Close)
Japan/Asia LNG (14 Aug close — no 17 Aug print)	¥3,363	−¥4 vs the 13 Aug close ¥3,367	from ¥1,669 (+101.5%) — the series printed on 12, 13 and 14 Aug. 11 Aug was never backfilled and remains a permanent hole . No 17 Aug print, flagged and NOT carried as a reading. JKM is quoted at \$21.22/MMBtu for 14 Aug, quoted by TradingEconomics up 26.2% on the month, a different index from JGLA and not comparable with it. Hormuz still moves roughly a fifth of global LNG	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

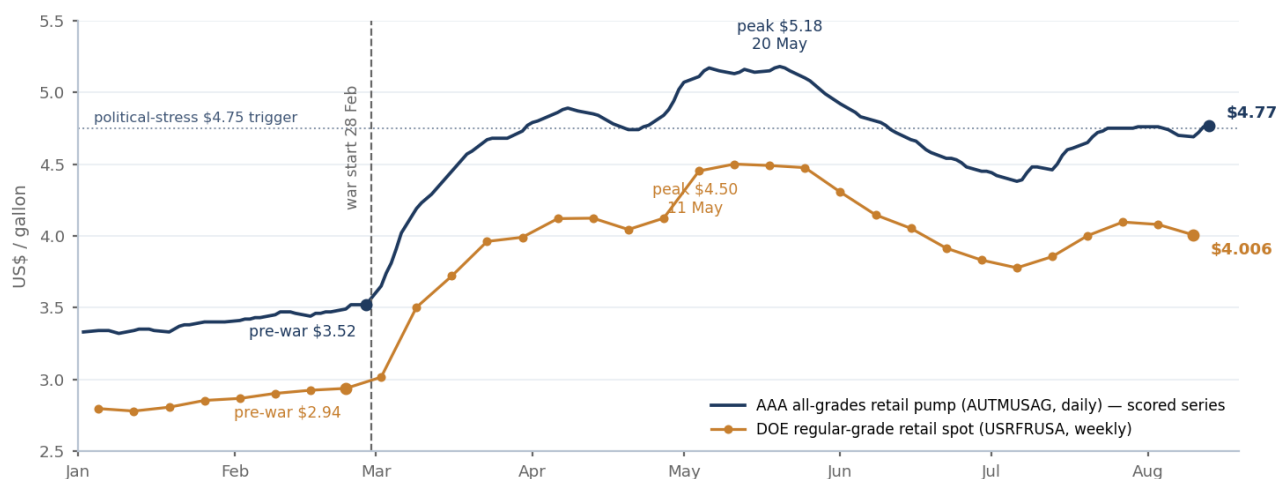
The curve printed on both sessions. Every tenor, the 2s10s spread and 5Y5Y carry 14 and 17 Aug values; BE10, MOVE, VIX and SOFR have no 17 Aug print. Triggers and Stage-4 tests below are judged on the **14 Aug close**. **One integrity flag: the 30-year prints 5.2593% on both 14 and 17 August, identical to four decimal places.** Under \$9.19/\$9.25 an identical field in a BLANK row is a carry, but this row is live — every other tenor moved and the 2s10s spread moved 1.10 bp — so the print is treated as genuine. It is flagged because no conclusion should rest on a 30-year that has 'not moved', and the d/d of 0.00 bp is reported rather than asserted.

Tenor	Intraday 17 Aug (%)	Δ d/d (bp)	14 Aug close	Δ vs pre-war (bp) and commentary	BBG ticker
2-year UST	4.1563	−1.28	4.1691	+78.1 (from 3.37%) — Friday's close ROSE 2.67 bp on a retail-sales print that missed by 0.7pp and a sentiment print that missed by 3.5 points. The front end is the tenor that trades the Fed, and it sold off into two demand misses. Note the conflict flagged in the source log: one wire reported short-dated Treasuries rising on the retail miss, which the official curve contradicts	USGG2YR Index
5-year UST	4.3515	−1.24	4.3639	+85.0 (from 3.50%) — the 14 Aug close rose 4.75 bp, giving back roughly three quarters of Thursday's 6.53 bp PPI rally and more. The belly is where the inflation-expectations move showed up first	USGG5YR Index
10-year UST	4.6862	−0.60	4.6922	+74.9 (from 3.94%) — the 14 Aug close rose 4.95 bp, and it is what RE-ARMED Stage-4 Threshold B by lifting the tenor back above 4.65% one session after it fell 0.73 bp below. The 31 Jul war high of 4.7347% is 4.25 bp away	USGG10YR Index
30-year UST	5.2593 (identical to Friday to 4dp — flagged)	0.00	5.2593	+64.9 (from 4.61%) — the 14 Aug close rose 4.68 bp to the highest since the 31 July war high of 5.2724%, and it closed 4.33 bp ABOVE the 5.216% at which Thursday's \$25bn auction cleared. The concession the auction extracted was given back and more in a single session. It is 20.93 bp above the 13 May stop of 5.050%. The Treasury downgrade leg needs a close under 5.00%: 25.93 bp away, WIDENED from 21.25	USGG30YR Index
2s10s spread	+52.777 bp	+1.10	+51.675	−2.9 vs +55.64 pre-war — a SIXTH consecutive steepening close and the steepest reading since 20 May (44.808 / 46.358 / 47.039 / 48.929 / 49.821 / 51.675, now 52.777 intraday). Thursday's was a bull steepener; Friday's was a bear steepener — 2Y +2.67 bp, 10Y +4.95. The curve is re-steepening from the long end on term premium, not from the front end on cuts, which is the more expensive version	USYC2Y10 Index
10-year breakeven	no 17 Aug print	—	2.2835	+2.7 vs 2.2569 pre-war — THE CLAIM MADE ON FRIDAY IS WITHDRAWN. The last edition reported BE10 at 2.2590%, 0.21 bp above its pre-war anchor , and flagged that a single basis point would take spot inflation compensation below pre-war for the first time in the war. The 14 Aug close rose 2.45 bp instead. The gap is now 2.66 bp and moving away. Per \$9.20 the conclusion is withdrawn by name, not merely the number updated	USGGBE10 Index
5y5y forward breakeven	2.3073	−0.21	2.3094	+16.5 on the intraday print, +16.74 on the 14 Aug close, which is the figure the trigger uses, vs 2.142% pre-war — THE HEADLINE RETRACTION OF THIS EDITION. The 13 Aug close of 2.2900% was the first below 2.30% in eleven sessions and the last edition led on it. It lasted exactly ONE close. The 14 Aug close of 2.3094% is back above the level whose sustained break fired this channel 4→5 on 31 July, and the intraday print holds there. The documented downgrade remains a sustained close at or below the 2.142% anchor: 16.74 bp away, WIDENED from 14.80. \$9.26(b) is honoured — the rule was not moved when the trigger broke, and it is not moved now that it has un-broken	USGG5Y5Y Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	Basis	Δ vs pre-war	Reading
MOVE (rate vol)	69.58	14 Aug close (no 17 Aug print)	−3.80 (from 73.38)	A THIRD CONSECUTIVE CLOSE BELOW 75 — 72.09, 69.23, 69.58 — and a third below the 73.38 pre-war anchor. This is the first multi-session run since 16–21 July, and the first since the current regime began on 29 July. The three intervening satisfactions — 74.18 on 29 Jul, 73.58 on 5 Aug and 72.03 on 7 Aug — each lasted exactly one session and were given back the next (\$9.18); note that 73.58 cleared 75 but never cleared the anchor. This is therefore the first evidence since mid-July of a regime rather than a session. It changes nothing about the score, and the reason is \$9.15: the legs are rotating, not converging. While MOVE improved 0.35 the wrong way and stayed satisfied, the 30-year leg widened 4.68 bp on Friday, from 21.25 to 25.93. A two-leg downgrade in which the satisfied leg gets better and the unsatisfied leg gets worse is further away, not closer.
VIX (equity vol)	14.25	14 Aug close (no 17 Aug print)	−5.61 (from 19.86)	Down 0.38 from 14.63 and below the 14.55 of 12 August: this is the lowest VIX print anywhere in the series, pre-war included. Equity volatility is cheaper than at any observed point, on day 171 of a closed strait, with a US naval blockade in force, three vessels struck in 48 hours, 17 seafarers dead by the IMO's count and OPEC effective spare capacity assessed at 0.07 mb/d. Note it printed on a session when the S&P fell 0.2% on a double macro miss — cheap vol is not the same as a confident market.
DXY (dollar)	99.518	17 Aug intraday	+1.91 (from 97.608)	The 14 Aug close of 99.667 fell 0.30 from Thursday and the dollar made a one-week low on the retail-sales and sentiment misses, with the euro through its 100-day average to a two-month high. A weaker dollar alongside higher long-end yields is the term-premium signature, not the safe-haven one: in a growth scare the dollar rises and yields fall.
SOFR	3.62	13 Aug close (14 and 17 Aug blank)	−0.06 (from 3.68)	A SECOND consecutive dark session. The series printed 3.64 on 11 Aug and 3.62 on both 12 and 13 Aug, then stopped. Effective fed funds has been steady at 3.63% on the H.15 through 13 Aug. No funding stress is indicated, but the series is not reporting for 14 or 17 Aug and is not treated as if it were.
AAA gasoline	\$4.77 /gal	13 Aug print (14 and 17 Aug blank)	+\$1.25 (from \$3.52, +35.5%)	Political-stress score reference. A NEW PRINT, AND UP AGAIN: \$4.77 is the highest reading since 10 June. The series has now recovered from \$4.69 on 10 Aug to \$4.77 in three sessions, more than round-tripping the six-session decline. The \$4.60 downgrade condition named on 11 August is 17 cents away, from 16 last edition and 9 the edition before. Two dark sessions since. Basis note: all-grades, not the regular-grade average, which printed \$4.0715 on 13 Aug.
DOE gasoline	\$4.006 /gal	10 Aug weekly print (no new print)	+\$1.07 (from −\$2.94, +36.3%)	Corroboration only. The expected 17 Aug print did NOT arrive: the EIA schedule now shows the survey publishing TUESDAY 18 August, so the first independent weekly read on the reversal is one day later than the last edition's watchlist said. In the meantime the AAA daily regular series says something more interesting: it peaked at about \$4.078 on Friday and eased to \$4.0704 on 15 Aug and \$4.0656 on 16 Aug, while AAA DIESEL made a new high of \$5.4460 on Sunday — diesel +13.8 cents on the week against gasoline's roughly +6. The pressure has rotated into the distillate barrel.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest print **\$4.77 on 13 Aug**; 14 and 17 Aug blank); USFRUSA (DOE regular-grade retail spot, weekly) is corroboration only (pre-war ~\$2.94, peak \$4.50, latest \$4.006 for the week to 10 Aug, unchanged since the last edition because the release moved to Tuesday). The dotted line is the \$4.75 political→5 threshold. **The navy line now sits clearly above it and is rising.** The six-session decline from \$4.76 on 3 Aug to \$4.69 on 10 Aug has been fully reversed and exceeded in three sessions — \$4.72, \$4.76, \$4.77 — and the last of those is a print the previous edition did not have. What the chart cannot show is that the amber series has still not been asked the question, and that the distillate barrel is where the acceleration now is: AAA diesel reached **\$5.4460 on 16 August**, a new high for the war, on a weekend when regular gasoline eased about a cent.

Strait operational state

Indicator	Current reading	Source
Strait closed · day 171 — THE NIL RETURN LASTED ONE REPORT. UKMTO 085 RECORDS THREE CONFIRMED ATTACKS AND THE COUNT GOES 86 to 89	UKMTO JMIC Advisory Update 085, covering 1 Mar to 16 Aug, has been retrieved and read directly. All threat levels are held — Hormuz SEVERE ('deliberate hostile action considered as highly likely under current conditions'), Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL , Arabian Gulf and Arabian Sea MODERATE , East Med LOW . But the 'NTR' of Update 084 is gone: three confirmed attacks, all in the Strait of Hormuz, taking the cumulative total to 89 since 1 March. UKMTO 111-26 and 112-26 (14 Aug): two tankers attacked overnight while OUTBOUND in Omani territorial waters , struck by unknown projectiles, minor damage, no injuries, proceeded under own power. UKMTO 113-26 (15 Aug): a bulk carrier struck on the hull by an unknown projectile while INBOUND . Update 085's own transit annex is the sparsest of the war: Hormuz cargo 3 / 5 / 0 and tankers 4 / 0 / 0 across 13–15 Aug , with 57 US NCAGS-facilitated transits over the three days. UKMTO's separate VRA Overview of 14 Aug puts full transits at 151 over seven days, which it assesses at 17% of its own pre-conflict average (baseline named, per \$9.19), with AIS-detected transits ~90% below baseline and 20 projectile-strike incidents since 6 July, 16 of the last 18 of them on the southern Omani route.	UKMTO JMIC Update 085 (to 16 Aug) and UKMTO VRA Overview No.2 (14 Aug), both read at ukmto.org
FOUR TRANSIT COUNTS, FOUR UNIVERSES, NO AVERAGE TAKEN — AND THE WEEKEND WAS THE THINNEST OF THE WAR	Kpler via Reuters: 2 transits on 14 Aug with NO crude oil shipments visible at all (a grain ship inbound and an empty dry bulk carrier outbound), 5 on 15 Aug (including an empty VLCC running dark and an Indian-flagged VLGC on the Iranian route, with a small tanker of Iranian fuel oil exiting), and ZERO on 16 Aug. Weekend total 5, against 31 the previous weekend. Reuters' own August average for the Kpler series is 12, against a stated pre-war baseline of 'more than 130 ships a day'. UKMTO's annex: 5 cargo + 0 tankers on 14 Aug, 0 + 0 on 15 Aug. TankerMap, AIS-broadcasting tankers only: 0 / 2 / 0 across 14–16 Aug, a 7-day average of 0.9 against its own stated normal of ~21/day. Lloyd's List Intelligence (cargo vessels over 10,000 dwt, weekly): 78 transits for 3–9 Aug, from 95 — no brief later than 12 Aug exists. LSEG published nothing for 13–17 Aug and IMF PortWatch has not moved past 9 Aug. Windward has published no transit count later than 13 Aug (13 transits that day); a 17 Aug republication of its 13 Aug piece is a republication date, not new data.	Kpler via Reuters, 14 and 17 Aug / UKMTO Update 085 / TankerMap / Lloyd's List Intelligence, 12 Aug
THE UAE PUBLICLY NAMED IRAN AND CALLED IT PIRACY — THREE ADNOC-LINKED VESSELS STRUCK IN 48 HOURS	The UAE Foreign Ministry on 14 Aug 'strongly condemned and denounced the hostile Iranian attack that targeted two vessels affiliated with ADNOC ' transiting the strait, calling Iran's conduct ' piracy ' and a direct threat to global energy supply; on 15 Aug it blamed Iran for a further ADNOC vessel struck Friday evening; whether that is the same event as UKMTO 113-26 could not be established and the two are not merged. ADNOC states that 23 of its vessels have been attacked since the conflict began, with one fatality and 20 crew injured. Iran did not comment. The GCC Secretary-General condemned the attacks on 16 Aug. This is a material change in kind: for most of this war the Gulf states have avoided naming Iran for strikes on their own shipping. Note the location — two of the three were in OMANI territorial waters , which is the same water the Iran–Oman route map is meant to govern.	UAE MFA via Al Jazeera/AFP, 14 Aug and via WAM/Bloomberg, 15 Aug / ADNOC to Bloomberg, 16 Aug / Arab News, 16 Aug
THE BLOCKADE TALLY ROSE 59 to 62, AND THE CARRIER ROTATION THAT MAKES 'INDEFINITELY' OPERATIONAL HAS STARTED	Update 085 quotes CENTCOM: as of 14 Aug, 62 commercial vessels redirected, 3 disabled and 2 boarded , against 59/3/2 on 12 Aug and 53/2/2 on 9 Aug. Three more vessels turned away in two days; the disabled and boarded counts are unchanged. Hegseth's 'indefinitely... we will rotate ships in and out' remains dated 13 Aug and no newer statement could be sourced — but the rotation itself is now observable: a US official confirmed on 14 Aug that USS George Washington is en route to relieve USS Abraham Lincoln , and Trump, asked whether the Lincoln's nine-month deployment was too long, said 'not nearly long enough'. CENTCOM's own 15 Aug release , on Adm. Brad Cooper's ten-day regional trip, describes the Lincoln group as supporting 'the ongoing U.S. naval blockade against Iran'. Treasury Secretary Bessent said measures are coming 'like have never been seen in the history of economic isolation' — and OFAC's recent-actions page shows NO designation between 13 and 17 Aug , the last Iran action being 7 August.	UKMTO Update 085 citing CENTCOM / CBS News, 14 Aug / CENTCOM release, 15 Aug / Bessent via Newsmax and Reuters, 14 Aug / ofac.treasury.gov, read 17 Aug
IRAN AND OMAN HAVE AGREED A SHIPPING ROUTE MAP — AND ARAGHCHI IMMEDIATELY DECOUPLED IT FROM REOPENING	The one substantive diplomatic development of the window. Foreign ministry spokesman Esmail Baghaei said on 15 Aug that Iran and Oman have finalised a ' shipping map ' after weeks of technical talks, forming part of a wider accord to govern traffic through the strait and constituting 'an independent arrangement between the two states'. The original is Defa Press, Tier 3 ; it is carried by Bloomberg and Anadolu, Tier 1. Transit fees and security arrangements were not specified and another phase of talks is to be held. Araghchi capped it the same day: the agreement 'is a separate issue' from reopening, which 'depends on fulfilling other conditions that the U.S. must abide by'; contact with Qatari and Pakistani mediators ' does not constitute negotiation. We have not yet made a decision to resume negotiations with the U.S. ' Bloomberg adds the decisive point: the US was not party to the negotiation and is unlikely to accept terms that do not restore free passage. Per \$9.11 this is an ANNOUNCEMENT of a bilateral framework, not a stand-down, and the escalation channel does not move on it.	Baghaei via Defa Press (Tier 3) carried by Bloomberg and Anadolu, 15–16 Aug / Araghchi via Telegram and Bloomberg, 15 Aug / Al Jazeera live blog, 16 Aug
Oman — the precise query, and the precise answer	Per \$9.23 this row states exactly what was asked of the primary source. Both fm.gov.om indexes — news and statements — were read directly on 17 Aug. (a) The most recent item of ANY kind is 15 Aug, an Omani ambassador presenting credentials in Chile — not Iran-related. (b) The most recent Iran/Hormuz-relevant news item remains 8 Aug ; the most recent Hormuz-specific statement remains 14 July ; the most recent Oman–Iran joint statement remains 23 June. (c) Nothing whatever was published on 16 or 17 August. The material negative this edition: two of the three attacks were in Oman's own territorial waters and Oman's foreign ministry has published nothing on them , having issued a dedicated condemnation of Hormuz vessel attacks as recently as 8 August. That silence is documented from the ministry's own indexes, not inferred. Oman DID speak on a different maritime matter, through its Environment Authority, on the Caroline Bezegei slick.	Oman Ministry of Foreign Affairs, fm.gov.om news and statements indexes, read directly 17 Aug

Indicator	Current reading	Source
KHARG LOADED AGAIN ON 14 AUGUST — BUT NO DEPARTURE HAS BEEN CONFIRMED	TankerTrackers.com reported on 14 Aug that a National Iranian Tanker Company VLCC was loading about 2 million barrels of crude at Kharg's Azarpad jetty , described as the first loading observed at the island since late July. UANI corroborated it independently on 14 Aug from ESA Copernicus imagery , adding that at least 40 Iranian oil or petrochemical loadings have been tracked since the 17 June MoU, 14 of them from Kharg. NOT FOUND: any report that the ~333m dark VLCC at the western terminal has sailed, and any confirmation of a second cargo. A circulating claim of two VLCCs loading ~4 mn bbl traces only to a post whose identifier sits in the March 2026 band and is assessed as stale and not used . TankerTrackers adds that Iranian crude exports 'remain strong' while gas shipments have fallen, with gas being flared, and that production looks broadly in line with refinery runs and domestic use. Iran exporting is not the strait reopening.	TankerTrackers.com, 14 Aug, via The National 16 Aug / UANI Iran Shipping Update, 14 Aug
THE COVERT RELAY IS NOW MEASURED — AND IT IS WHY \$88 AND NOT \$110	Bloomberg, 16 Aug, from EU Sentinel-1 satellite data: about 150 ships are floating off Oman awaiting ship-to-ship transfer, against roughly 40 in January; 16 Saudi Bahri VLCCs are positioned off Oman with three more inbound, 38 million barrels of combined capacity , two of them seen loading at Ras Tanura the week before; ADNOC has sold about 135 million barrels and issued a further sales round; and dark-shuttle volumes through Hormuz are running above the market's ~4 mb/d estimates . Insurers report a steady stream of enquiries from Gulf producers. Heidmar's Pankaj Khanna: 'It's a dark trade. It's the only option right now.' Separately, UANI counts 53 tankers laden with Iranian oil along the Iranian coast and 66 departures of about 80 mn bbl since the MoU, worth over \$6bn at an assessed \$10–12/bbl discount . Windward records 12 Saudi state-linked vessels rerouting via the Cape of Good Hope , adding 4,000–6,000 nautical miles and 10–14 days per voyage.	Bloomberg via gCaptain, 16 Aug / UANI, 14 Aug / Windward, 13 Aug
THE RED SEA LEG DETERIORATED SHARPLY — AL-MOKHA PORT IS CLOSED	Update 085 and AP report that Houthi forces fired consecutive salvos of 5–6 ballistic missiles into Yemen's Al-Mokha port on 14–15 August, striking berths and setting fire to two commercial vessels ; on 15 Aug the port director declared commercial and maritime operations fully suspended after more than 25 missile hits in recent days, with 7–8 fatalities and about \$16 million in direct damage. Casualty counts differ by source (3 / 6 / 7–8) and are reported as found, not reconciled. Yemeni government naval forces destroyed two Houthi craft off the western littoral, one configured to launch aerial drones. Kpler counts 49 Bab el-Mandeb transits over the weekend, which Reuters compares with 55 a week earlier, with no tracked Saudi oil shipments. The Houthis also claimed drone strikes on Aramco's Jazan refinery on 13 Aug — the third targeting of Aramco facilities in the area since 25 July. Four vessels remain under pirate control and Somali piracy is rising (7 boardings or hijacks YTD, 37 piracy-related incidents).	UKMTO Update 085 / AP via CBS News, 15 Aug / Kpler via Reuters, 17 Aug / Yemen Monitor, 14 Aug

2 · US economic shock — analysis with bond yields

2.1 · Bond-yield transmission, channel by channel

(i) What the market did. (ii) What it means for the channel. (iii) What would change the score. All tests run on the **14 August close**, the last confirmed one. Friday is the analytically important session of this edition because it combined the two weakest US demand prints of the summer with a long-end sell-off — a combination that only makes sense through the term premium.

Channel 3 · US inflation impulse — held at 5/5

(i) 5Y5Y closed **2.3094%** on 14 August, up 1.94 bp, **back above the 2.30% level it had broken one session earlier**; the intraday 17 Aug print of 2.3073% holds there. BE10 closed **2.2835%**, up 2.45 bp, moving from 0.21 bp above its pre-war anchor to 2.66. The 5-year note sold off 4.75 bp. Against this, the University of Michigan's preliminary August survey put **year-ahead inflation expectations at 4.3%, up from 4.2%**, against 3.4% pre-war, with the 5–10 year measure unchanged at 3.3% for a third month. (ii) **The retraction is the point.** The last edition led on the 13 August break below 2.30% and treated it as the most adverse fact in the document for the monitor's own scoring. It lasted **one close**. Under \$9.18 a single sub-threshold close is a session, not a regime, and that rule cuts in both directions — it protected the score from a wrong downgrade on 5 and 7 August, and it has now protected the analysis from over-reading a wrong improvement. The channel is at max and cannot rise. The documented downgrade is unchanged and was NOT moved to match the firing trigger when the trigger broke (\$9.26b), which is why nothing has to be un-moved today. (iii) Sustained closes at or below the **2.142%** pre-war anchor take this channel to 4. That is **16.74 bp away, having been 14.80 on Friday**. The corroborating measure moved the same way: BE10 needs 2.66 bp rather than 0.21 to go beneath pre-war. **Both legs of the improvement case retreated on the same close.**

Channel 4 · Treasury stress — held at 5/5

(i) The curve sold off across the board on 14 August: 2Y +2.67 bp to 4.1691%, 5Y +4.75 to 4.3639%, 10Y +4.95 to 4.6922%, 30Y +4.68 to **5.2593%**, the highest close since the 31 July war high of 5.2724%. 2s10s steepened to +51.675, a sixth consecutive steepening close and the steepest since 20 May, and steepened again intraday to +52.777. **MOVE closed 69.58 — a third consecutive close below 75 and below the 73.38 pre-war anchor.** (ii) Two facts sit awkwardly together and both must be stated. The first is genuinely new: **the volatility leg of the Treasury downgrade has now been satisfied on three consecutive closes, the longest run since 16–21 July.** Since the current regime began on 29 July the three prior satisfactions — 74.18, 73.58 and 72.03 — each lasted exactly one session (\$9.18), and 73.58 never cleared the 73.38 anchor at all. The second is decisive: **\$9.15 applies more starkly than at any point it has been invoked.** While the satisfied leg improved, **the unsatisfied leg widened 4.68 bp on Friday, from 21.25 to 25.93.** The last date on which both legs were simultaneously in range was never — they have not been in range together at any point in this war. A two-leg test in which one leg gets better and the other gets worse is moving away from resolution, and reporting only the satisfied leg would read as progress toward a downgrade that is in fact further off. **The composition of Friday's move is the substantive point:** real yields rose 1–3 bp across the curve and Treasury CMT breakevens 1–3 bp, with the Bloomberg 10-year measure up 2.45 bp, so roughly half the long-end move was real and half was inflation compensation. (iii) A 30-year close under 5.00% **together with MOVE under 75**, sustained, takes this channel to 4. One leg is satisfied for a third session; the other is **25.93 bp away and widened this week.**

Channel 2 · Oil price shock — held at 2/5

(i) Brent front-month closed **\$86.57** on 14 August, up \$1.35, and prints \$86.43 intraday. The active contract settled **\$88.52**, up \$1.45, capping a week in which Brent gained almost 6%. (ii) The upgrade gap **narrowed by \$1.35 to \$8.43** and the downgrade gap widened by the same amount to \$14.09 — an exact reversal of the direction reported on Friday. The drivers were all supply-side and none of the Friday ones was visible at the Singapore cut: the ADNOC tanker attacks, Hegseth on the blockade, Bessent's sanctions trailer, a Houthi drone strike on Aramco's Jazan refinery and a Ukrainian drone strike halting Russian loadings at Novorossiysk. **The reason the number is \$88 and not far higher is now measurable:** the Bloomberg satellite work of 16 August puts dark-shuttle volumes through the strait above the market's ~4 mb/d estimate, with ~150 ships queuing off Oman for ship-to-ship transfer against ~40 in January. **The price is being held down by a workaround, not by slack** — the IEA's assessment of effective OPEC spare capacity remains **0.07 mb/d**, the lowest figure this document has carried. That is the fragility: a relay conducted in dark vessels, inside the territorial waters of the mediator, under fire. (iii) Sustained closes above **\$95** take this to 3 — \$8.43 away on the scored series, \$6.48 on the active. It remains the only channel with headroom.

Channel 5 · Political stress — held at 5/5

(i) AUTMUSAG printed **\$4.77** on 13 August, a new print since the last edition and **the highest reading since 10 June**; 14 and 17 August are blank. The AAA daily regular average peaked at about \$4.078 on Friday and eased to \$4.0656 by Sunday, while **AAA diesel made a new war high of \$5.4460 on 16 August.** (ii) The scored series has now more than round-tripped its six-session decline in three sessions and sits **17 cents above the \$4.60 downgrade condition, from 16 last edition and 9 the edition before.** \$9.30 has been vindicated twice over: the decline was never extrapolated through the dark sessions, and the named, testable condition adopted on 11 August has remained measurable throughout without ever inviting a downgrade that would have been wrong. **The interesting movement is now in distillate.** The front-month US diesel crack exceeded **\$97/bbl** on 13 August, an all-time high closing on \$100; global observed diesel inventories are below the five-year minimum on Citi's work; the IEA records Atlantic Basin product cracks at record highs; and Türkiye zeroed its diesel excise for the rest of August. Retail gasoline is the scored series, but **diesel is the price that moves freight, food and construction, and it is the one accelerating.** (iii) Three consecutive closes at or below **\$4.60** with no intervening print above \$4.70 take this to 4; a sustained fall toward the \$3.52 anchor takes it to 3.

The macro cross-current — why Friday matters more than its size

July retail sales fell **0.6% m/m against a +0.1% consensus**, the largest decline since May 2025, with motor vehicles –1.8% and nonstore –2.2%. Preliminary August University of Michigan sentiment printed **51.0 against 54.5 expected and 55.2 prior**, a 7.6% monthly fall that ended two months of improvement, with expectations –8.7% and the sharpest declines among older, lower-income and non-college consumers. Business inventories were flat and June business sales fell 1.1% after –2.1% in May. **Equities fell only 0.2% and the long end sold off five basis points.** That combination is the whole argument of this edition in one session: a bond market that will not rally on weak

demand is a bond market that has stopped pricing the Fed and started pricing supply — of duration, at a \$40tn debt load, and of oil, at 0.07 mb/d of effective spare capacity. Cleveland's Hammack reiterated on 13 August that she wants rates raised now. **No Federal Reserve speech was delivered 14–17 August and no CME FedWatch September probability date stamped 14 August or later could be sourced** — the ~50% figure withdrawn in the last edition is still not re-sourceable and is still not carried.

2.2 · Stage-4 thresholds

Threshold	Test	Status on the 14 Aug close
A · Long-end funding stress	A long-end auction failing — clearing with a tail above its when-issued level	DOES NOT ARM: all three refunding legs cleared without a tail. But the reference point has moved, and the 30-year has already taken back the auction concession. The 13 August \$25bn auction cleared at 5.216% , the highest 30-year auction yield since 2001, on bid-to-cover 2.39x against a 2.38x average and indirects 66.8% against 66.4% — in line on every metric, and no when-issued print was sourceable so no tail is asserted. On 13 August the 30-year closed 5.2125%, 0.35 bp BELOW its own stop. On 14 August it closed 5.2593%, 4.33 bp ABOVE it. Per \$9.29 the US has now term-funded at 5.216%, so 5.050% is a historical marker rather than a live comparison; the 14 Aug close is 20.93 bp above it. The composition point stands: the 30-year indirect share fell 10.9 points from the 9 July reopening's 77.7% while directs rose 9.4 — the paper was absorbed at a yield ~16 bp higher by a different buyer. The whole \$125bn refunding settled today, 17 August. Next long-end supply is the 20-year bond on Wednesday 19 August and the 30-year TIPS reopening on Thursday 20 August.
B · Long-end plus benchmark stress	30Y above 5.20% together with 10Y above 4.65%	RE-ARMED ON THE 14 AUGUST CLOSE — a FOURTH arming in three weeks, and a SEVENTH state in that sequence. 30Y 5.2593% clears by 5.93 bp and 10Y 4.6922% by 4.22 bp. The sequence is now: in 29 Jul–3 Aug, out 4–5 Aug, in 6 Aug, out 7 Aug, in 10–12 Aug, out 13 Aug, in 14 Aug. Every single transition has been decided by under 6 bp on one leg, and the binding leg has alternated between the two tenors. The last edition asked whether B would re-arm; it did so on the next close. The correct inference is unchanged and is now overwhelming: 4.65% and 5.20% are the middle of this distribution, not its edge, and a threshold that changes state seven times in three weeks is measuring noise around a level, not a break.
C · Rate-volatility crisis	MOVE above 130	69.58 on the 14 August close — 60.42 points below C. This is not the furthest from C the war has seen: the series low of 65.39 was set on 18 June and fifteen war sessions have closed lower. It is a return to the mid-June regime, not a new extreme. The war high was 115.02 on 26 March. The number that matters is at the other end and has now held for two sessions: MOVE is below its pre-war anchor while the 30-year sits 64.87 bp ABOVE its own. A fully normalised expectation of movement around a yield that has not normalised at all — and Friday demonstrated the cost of that assumption, with a five-basis-point long-end move on a day the volatility market had priced as quiet.

2.3 · Cross-asset read-through

The dispersion that has defined this monitor for a fortnight widened again on Friday, and this time it did so against US demand data rather than against the Gulf. VIX printed the lowest reading in the entire series, pre-war included, on a session when the S&P fell on a double macro miss. MOVE sat below its pre-war anchor for a third day. And the 30-year rose to within 1.3 bp of its war high. Meanwhile TTF is within €1.54 of its war record, the US diesel crack made an all-time high, Atlantic Basin refining margins are at records on the IEA's reckoning, and Henry Hub is two cents off its war low. **The pattern is consistent and it is not reassuring: American financial risk is priced as if the war were over, while every physical price that touches the Gulf is priced as if it were not.** The bridge between the two is the covert relay measured this weekend — 150 vessels queuing off Oman, ~4 mb/d or more of dark shuttle traffic, Saudi and Emirati barrels moving by ship-to-ship transfer rather than by transit. That relay is doing the work that spare capacity would normally do, and it is doing it with no redundancy, in contested water, under attack. It is not visible in the VIX.

3 · Shock score

Six channels, 0–5 each, summed 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · **22–30 crisis**. Market channels move only on confirmed closes; event channels move only on events, not announcements (\$9.11). Hysteresis is asymmetric by design: upgrades on a sustained break, downgrades only on a sustained reversal past a wider threshold.

Channel	Score	Basis for this edition	Move
1 · Maritime denial	5 / 5	Day 171. UKMTO Update 085 records three confirmed attacks and takes the cumulative count 86 to 89. Two tankers struck outbound on 14 Aug in Omani territorial waters, a bulk carrier struck inbound on 15 Aug. Hormuz SEVERE, all threat levels held. Kpler: 2 / 5 / 0 transits across 14–16 Aug, no crude visible on Friday. UKMTO VRA: 151 full transits in seven days, 17% of its own pre-conflict average. Traffic separation arrangements remain suspended.	held (at max)
2 · Oil price shock	2 / 5	Brent closed \$86.57 on 14 Aug, +\$1.35, and the active contract settled \$88.52 after a week that added almost 6%. \$8.43 below the \$95 upgrade and \$14.09 above the \$72.48 downgrade. The upgrade gap narrowed by \$1.35 — the only trigger in the document that moved TOWARD a score change this edition.	held
3 · US inflation impulse	5 / 5	5Y5Y closed 2.3094%, back above 2.30% after ONE close below it. BE10 closed 2.2835%, 2.66 bp above its pre-war anchor, from 0.21. UMich year-ahead expectations rose to 4.3%. The documented downgrade at the 2.142% anchor is 16.74 bp away, widened from 14.80.	held (at max)
4 · Treasury stress	5 / 5	MOVE 69.58 — a THIRD consecutive close below 75 and below the pre-war anchor, the longest such run since 16–21 July. But the 30-year leg widened 4.68 bp on Friday to 25.93 and the 30-year closed 5.2593%, its highest since the war high. \$9.15: rotating, not converging.	held (at max)
5 · Political stress	5 / 5	AUTMUSAG \$4.77 on 13 Aug, the highest since 10 June and above the \$4.75 trigger. The \$4.60 downgrade condition is 17 cents away , from 16 and before that 9. Two dark sessions since. AAA diesel made a new war high of \$5.4460 on 16 Aug.	held (at max)
6 · Escalation risk	5 / 5	The nil return broke after one report. The UAE publicly named Iran and called the attacks piracy; the blockade tally rose 59 to 62; USS George Washington is en route to relieve USS Abraham Lincoln. Against it: an Iran–Oman shipping route map, and a nineteenth session with no Tier 1-confirmed strike inside Iran. Araghchi: no decision to resume US negotiations. \$9.11 — an announcement is not an event.	held (at max)
TOTAL	27 / 30	CRISIS band. Eighth consecutive edition at 27. Five of six channels are pinned at the top of the scale and the sixth, oil, is three points below it, so the composite can register neither the deterioration in the strait nor the improvement in the volatility complex. Read the composition, not the total (\$9.7, \$9.27).	27 → 27 → 27

4 · What has changed since the 14 August edition

1 · The de-risking narrative was reversed by the close of the session it was published in. 5Y5Y is back above 2.30% after one close beneath it; BE10 went from 0.21 bp above its anchor to 2.66; Threshold B re-armed; and the 30-year closed 4.33 bp above its own auction stop having closed 0.35 bp below it the day before. **Four claims withdrawn by name, per \$9.20.** The reconciliation gap was +\$1.29 on Brent and +4.2 to +4.6 bp across the 5- to 30-year sector — the snapshot missed the US session in one direction on every asset.

2 · The long end sold off into the two weakest US demand prints of the summer. Retail sales –0.6% against +0.1% expected; UMich sentiment 51.0 against 54.5; and the only component that rose was year-ahead inflation expectations. Roughly half the long-end move was real yield and half inflation compensation. A bond market that will not rally on a demand miss has stopped pricing the Fed.

3 · UKMTO's first two-day nil return of the war was broken within twenty-four hours. Update 085 records three confirmed attacks, cumulative 86 to 89, two of them in Omani territorial waters. The **UAE publicly blamed Iran and called it piracy**, and disclosed that 23 ADNOC vessels have been attacked with one fatality and 20 injuries — a change in kind, since Gulf states have generally avoided naming Iran for strikes on their own shipping.

4 · Iran and Oman have agreed a shipping route map — the first substantive product of the mediation track in weeks — and Araghchi immediately decoupled it from reopening. Contact with Qatari and Pakistani mediators 'does not constitute negotiation'; no decision has been made to resume talks with Washington; and the United States is not a party. It is a bilateral arrangement between the mediator and the blockaded party that routes around the blockading power. That is movement, and it is why the mediated-pause line rises, but it is not a stand-down.

5 · The covert relay that is holding the oil price down was measured for the first time. ~150 ships floating off Oman for ship-to-ship transfer against ~40 in January; 16 Bahri VLCCs with 38 mn bbl of capacity positioned off Oman; ADNOC having sold ~135 mn bbl; dark-shuttle volumes through Hormuz above the market's ~4 mb/d estimate. This is the answer to why Brent is \$88 with effective spare capacity at 0.07 mb/d — and it is also a single point of failure sitting in the water where the attacks are happening.

6 · The blockade became physically open-ended. The tally rose 59 to 62 redirected as of 14 August, and **USS George Washington is en route to relieve USS Abraham Lincoln** — the mechanism behind Hegseth's 'indefinitely'. CENTCOM's own 15 August release describes the Lincoln group as supporting 'the ongoing U.S. naval blockade against Iran'. Bessent has trailed measures 'like have never been seen in the history of economic isolation', and **OFAC has issued nothing since 7 August.**

7 · Trump said he would declare the strait US territory, and the White House unsaid it. At a rally in Garden City, New York on 14 August: 'pretty soon I'll be declaring the Hormuz Strait a territory of the United States', followed by 'it's true'. On 15 August a senior White

House official told a WSJ reporter he **had not met advisers on it and was joking**. Carried as an announcement subsequently disavowed, not as policy. Iran's Gharibabadi: the strait '**cannot be taken over by a tweet, nor by an aircraft carrier**'.

8 · The regional periphery deteriorated on three fronts. Yemen's **Al-Mokha port was closed on 15 August** after Houthi missile salvos set two commercial vessels on fire, with 7–8 dead and ~\$16m of damage; **Israeli strikes in Lebanon on 15 August killed 11** including a Radwan Force commander, the deadliest since the June truce; and the Houthis struck Aramco's Jazan refinery again on 13 August, the third attack on Aramco facilities in the area since 25 July. Somali piracy is rising, with four vessels under pirate control.

9 · The distillate barrel is where the price pressure has gone. The US front-month diesel crack exceeded **\$97/bbl** on 13 August, an all-time high; global observed diesel stocks are below the five-year minimum; AAA diesel made a war high of **\$5.4460** on 16 August while regular gasoline eased about a cent from Friday's peak. Bank of America describes diesel as materially disrupted in three of four major regions. Türkiye zeroed its diesel excise tax for the remainder of August.

10 · Kharg loaded again on 14 August, and the VLCC at the western terminal still has not been reported sailing. TankerTrackers reported an NITC VLCC loading ~2 mn bbl at the Azarpad jetty on 14 August, corroborated independently by UANI from Copernicus imagery. **No departure and no second simultaneous cargo could be confirmed**, and a circulating 'two VLCCs, 4 mn bbl' claim was traced to a March-vintage post and rejected.

11 · Corrections and re-verifications carried into this edition. (a) The SPR figure of 298.7 mn bbl for the week ending 7 August is **the first reading below 300 mn barrels since January 1983** — a framing this monitor had not carried; against ~415 mn pre-war and 714 mn of authorised capacity, the reserve is ~42% full. (b) The DOE weekly retail gasoline survey now publishes **Tuesdays**, not Mondays; the last edition's watchlist expected a 17 August print and it will arrive on 18 August. (c) The Tihamah characterisation is refined: the Houthis issued a **non-specific** claim on 11 August to striking a vessel they called a Saudi military transport; what remains absent is a claim naming the Tihamah. Nothing changed 14–17 August. (d) The Fed chair attribution flagged as single-sourced and unused in the last edition is now corroborated by a second independent source as **Kevin Warsh**; it is recorded here but is still not used as an analytical input. (e) Windward's 13 August Kharg post is being republished by aggregators on 17 August — a republication date, not new data. (f) A Kpler-attributed '32 ships Friday to Sunday' figure contradicts Reuters' own Kpler numbers of 2 / 5 / 0 and is **rejected as stale**.

5 · Scenario map

Scenario	Prob.	Description	Shift from 14 Aug and why
Deal collapse on terms	38%	Modal for a fifth consecutive edition. The strait stays shut not because talks failed to start but because the terms are irreconcilable: Iran demands sanctions relief and released assets and now asserts a right to bar 'hostile' transits; the US demands restored free passage and is running a blockade to compel it.	–2 (40 → 38). The Iran–Oman route map is the first concrete product of the technical track in weeks and moves probability out of pure collapse. It is capped, not more, because Araghchi decoupled it from reopening, the US is not a party, and Bloomberg judges Washington unlikely to accept terms that do not restore free passage.
Contained but violent	22%	Attacks continue on shipping and on Gulf energy infrastructure; the blockade persists; neither side crosses into sustained state-on-state strikes.	unchanged (22). This weekend was the definition of the line: three confirmed attacks in the strait, a closed Yemeni port, a third strike on Jazan — and no US strike inside Iran, no Iranian strike on a US base. The category absorbed everything that happened without moving.
Return to full war	21%	Sustained US or Israeli strikes inside Iran resume, or Iran strikes US regional bases directly.	–1 (22 → 21). A nineteenth consecutive session with no Tier 1-confirmed strike inside Iran , and CENTCOM's public release index still shows nothing on combat since 29 July. The window's kinetic activity was Houthi and Israeli-Lebanese, not US–Iranian. Against this: the drone attempt on Erbil on 14 Aug and a \$30,000 Iranian bounty on US troops.
Regional relapse	12%	The conflict widens through the Red Sea, Lebanon, Iraq or the Saudi energy complex rather than through the strait itself.	+1 (11 → 12). Al-Mokha port closed with fatalities and two ships burning; Israeli strikes in Lebanon killing 11 including a Radwan commander, the deadliest since the June truce; a third Houthi strike on Aramco's Jazan; coalition drones downed over Erbil; Somali piracy rising. The consequence side is also worse, with effective spare capacity at 0.07 mb/d.
Mediated pause	7%	A negotiated de-escalation restores partial transit under a supervised regime.	+2 (5 → 7), the first increase in five editions. A finalised Iran–Oman shipping route map is a real, concrete artifact where previously there was only atmosphere. It is worth two points and no more: the United States is not in it, Araghchi says no decision has been taken to resume talks with Washington, and another phase of technical talks is still required.

Probabilities sum to 100. The two paths in which the strait stays shut carry 60% between them, down from 62% — the first fall this map has recorded. The move is small and it comes entirely from a bilateral agreement that excludes the party enforcing the blockade.

6 · Watchlist · next 24–72 hours

1 · Whether the 17 August MoU deadline is real, and what happens at it. Two secondary accounts describe the interim US–Iran arrangement as formally expiring today, and one reports that the sides agreed on 12 August to extend it. **No Tier 1 primary source could be obtained for either, and neither is used as an analytical input** — but if the deadline is real it is the single most consequential dated item in this document, and it falls on the day of publication.

2 · Whether 5Y5Y holds above 2.30% or breaks back below it. The 13 August break lasted one close. A second break, and then a third, would make it a regime rather than a session — at which point the gap between the level that fired this channel and the 2.142% level that would release it becomes the central tension in the scoring, exactly as \$9.16 anticipated and \$9.26 recorded.

3 · Whether the MOVE run below 75 extends to a fourth and fifth session. Three consecutive closes is already the longest run since 16–21 July. But note precisely what it would and would not mean: **no MOVE print alone can move the Treasury channel while the 30-year leg is 25.93 bp away and widened 4.68 bp on Friday.** The interesting question is not the score but whether rate volatility can stay at pre-war levels through a 20-year auction on Wednesday and a 30-year TIPS reopening on Thursday.

4 · The 20-year bond auction on Wednesday 19 August and the 30-year TIPS reopening on Thursday 20 August. The refunding settled today. These are the first long-end supply events since the 30-year cleared at 5.216%, and the relevant test is not the tail but the bid composition — whether indirects continue to fall away at the long end as they did between the 9 July reopening and 13 August (\$9.29).

5 · The EIA weekly on Wednesday 19 August, against the +17.4 mn bbl build. The follow-up test named last edition is unchanged and now due: **do crude imports stay near 7.3 mb/d or revert to the 6.3 four-week average?** If they hold, the US Gulf Coast is the residual destination for barrels that cannot clear Hormuz, and US inventories will keep printing bearish while the IEA reports 2.7 mb/d of global draws (\$9.28). It will also carry the first SPR reading since the reserve fell below 300 mn bbl for the first time since 1983.

6 · The DOE weekly retail gasoline print on Tuesday 18 August — one day later than the last edition expected, because the release has moved to Tuesdays. It is the first independent weekly corroboration of the reversal in the scored series, whose last reading captured only the

decline.

7 · Whether the UAE's attribution hardens into policy. Naming Iran and using the word 'piracy' is a departure. The questions are whether Abu Dhabi follows it with anything material, whether Oman breaks its silence on attacks in its own territorial waters, and whether the Iran–Oman route map survives contact with three struck vessels on the route it is meant to govern.

8 · Bessent's promised sanctions. Trailed on 14 August as measures 'like have never been seen in the history of economic isolation', with OFAC silent since 7 August. Watch the recent-actions page rather than the rhetoric.

9 · UKMTO Update 086, and whether three attacks in two days is the new run rate. Update 081 remains unretrievable for a fourth edition. 085 still assesses that direct hostile targeting of non-Saudi commercial shipping is not indicated, which two ADNOC strikes and a bulk-carrier hull strike now strain considerably.

10 · Oil → 3, still the only channel with headroom. \$8.43 away on the scored series and \$6.48 on the active contract, and the gap narrowed this week for the first time in three editions. Jackson Hole runs 27–29 August, the next CPI is 11 September and the next FOMC 15–16 September, so the near-term driver of the long end is supply and the oil price, not the policy calendar.

7 · Source log

Tier	Source	Used for
Tier 1 · market data	Bloomberg extract 'US Iran BBG Data.xlsx', refreshed 17 Aug 2026	All price, yield, volatility and gasoline series. 165 raw rows × 99 columns; header row scanned rather than hardcoded. Front-month auto-detect resolved CO2/CL2; DXY resolved as 'DXY Index'. Cross-checked externally for the first time: the extract's COA and CLA columns match the published ICE Brent (\$88.52) and NYMEX WTI (\$82.40) settlements of 14 Aug to the cent.
Tier 1 · official	UKMTO / JMIC; US CENTCOM; US Treasury; Federal Reserve H.15; Census Bureau; University of Michigan; EIA; IEA; OPEC; OFAC; Oman Ministry of Foreign Affairs	UKMTO JMIC Update 085 (to 16 Aug) and VRA Overview No.2 (14 Aug), both read directly at ukmto.org — threat levels, incident counts 111-26/112-26/113-26, transit annex, CENTCOM blockade tally. CENTCOM release index read directly (most recent combat entry 29 July; Cooper trip release 15 Aug). Treasury daily par yield curve and H.15 for 13–14 Aug. Census retail sales and business inventories, 14 Aug. UMich preliminary August, 14 Aug. EIA schedule confirming the 19 Aug WPSR and the Tuesday retail-price release. OFAC recent actions read 17 Aug — no action since 7 Aug. fm.gov.om news and statements indexes read directly 17 Aug.
Tier 1 · news	Reuters · Bloomberg · AP · AFP · Al Jazeera · CBS News · CNBC · Arab News · Anadolu · The National · Lloyd's List Intelligence	Kpler transit counts via Reuters (14 and 17 Aug); Bloomberg's 16 Aug satellite work on the covert relay; the UAE Foreign Ministry attribution via Al Jazeera/AFP and WAM/Bloomberg; the Iran–Oman route map via Bloomberg and Anadolu; Araghchi's Telegram statement via Bloomberg; Trump's 14 Aug remarks and the 15 Aug White House walk-back; the carrier rotation via CBS News; Al-Mokha via AP; the Baltic Exchange week-33 tanker report; Lloyd's List 12 Aug brief.
Tier 2 · commercial trackers	Kpler · Windward · Vortexa · TankerTrackers.com · TankerMap · UANI · IMF PortWatch	Transit counts and Kharg imagery. Every count is reported with its own vessel universe and denominator and no average is taken (\$9.19, \$9.24). Windward has published nothing later than 13 Aug; PortWatch nothing later than 9 Aug; LSEG nothing for 13–17 Aug. UANI is an advocacy organisation and is used only for imagery-corroborated vessel counts.
Tier 3 · state media	Defa Press · IRNA · IRIB · Tasnim · Fars · Mizan · Sputnik	Labelled and corroborated before use. The Iran–Oman route map originates with Defa Press and is used only because Bloomberg and Anadolu carry it. The \$30,000 bounty on US troops originates with IRNA and is carried by AFP. The 16 Aug parliamentary session on a 'Smart Management Plan' originates with IRIB via Anadolu and no readout of it could be found. Araghchi's 'temporary route' remark reaches this document only through Sputnik citing Tasnim and is used for nothing.
NOT FOUND — recorded, not filled	Explicit negatives	No Hormuz transit count of any kind for 17 Aug. No Monday settlement for any crude, product or gas contract. No confirmation the Kharg VLCC sailed. No second Kharg cargo. No LSEG count for 13–17 Aug. No CME FedWatch September probability datestamped 14 Aug or later. No Fed speech 14–17 Aug. No MOVE close for 14 Aug from a public source (the extract carries 69.58). No war-risk premium newer than Marsh's 7.5–10% of hull value of 22 July. No JWC or P&I action, and no IMO, ICS, BIMCO or INTERTANKO statement, 14–17 Aug. No revision to the 30 August Jizan restart. No OFAC designation 13–17 Aug. No Oman MFA publication on 16 or 17 Aug. No new Tihamah claim or finding. No Hegseth statement newer than 13 Aug. No Tier 1 confirmation of the 17 August MoU deadline.
Rejected as stale or unsourceable	Checked and discarded	A '32 ships Friday to Sunday' Kpler attribution that contradicts Reuters' own 2 / 5 / 0. A 'two VLCCs, 4 mn bbl at Kharg' claim traced to a March-vintage post identifier. An industrial production line that is 2025 vintage. A NAHB August figure that is the August 2025 release. A Hellenic Shipping News republication of Windward's 13 Aug piece dated 17 Aug. Carried forward from previous editions: Türkiye Today and Seoul Economic Daily on a Hormuz toll law (March); gCaptain's 'Hormuz Is Reopening' (16 Jun); Axios on a 'Hormuz Coalition' (16 Mar).

8 · On-demand update protocol

#	Step	Detail
1	Refresh and integrity-check the extract	Scan the header row rather than hardcoding columns; auto-detect the Brent and WTI front month. Run the row-level stale check (\$9.8) by diffing the prior row against the figures published for it, and the field-level check (\$9.19) for values identical to four decimals. This edition: the row check CLEARS and one field is flagged — the 30-year prints 5.2593% on both 14 and 17 Aug, treated as genuine because the row is live.
2	Compute deltas and test every trigger explicitly	d/d against the last confirmed close, w/w against five sheet-rows back, and vs the 27 Feb anchor re-verified field by field. Test all four market channels and Stage-4 A, B and C on the confirmed close only, and record the distance in basis points or dollars so the direction of travel is visible edition to edition.
3	Verify the news on both tracks and re-verify what was inherited	Military and diplomatic on one track, shipping, energy and macro on the other. Re-run negative claims every edition they are repeated (\$9.23) — absence-of-evidence decays faster than positive facts. State the exact query alongside the answer. Where several trackers disagree, publish every number with its denominator and take no average (\$9.24).
4	Reconcile the previous snapshot and withdraw conclusions by name	The Singapore-morning cut regularly misses the US session, in either direction and sometimes in both at once. Report the gap on every asset, and where the previous edition built a narrative on the snapshot, withdraw the conclusion explicitly rather than quietly restating the number (\$9.20) .
5	Score on confirmed closes, with hysteresis, and explain the composition	Never move a market channel on an intraday print; never whipsaw on a single session; never move a downgrade rule to match the level that fired the upgrade. When the scale is saturated, say so — the total registers neither deterioration nor improvement (\$9.7, \$9.27), so the analysis has to carry what the number cannot.

9 · Methodology

Data. All market series come from a single Bloomberg extract refreshed by the user each working day. The latest row is an intraday snapshot taken during the Singapore morning; the previous row is normally a confirmed close. The sheet's structure changes between uploads — tickers are relabelled, columns inserted, history restated — so the parser scans the header row on every run rather than addressing columns by index. **Restatements are normal and absolute levels are not strictly comparable with pre-restatement editions; directional analysis is continuous.** The front-month Brent and WTI continuations (CO2, CL2) are the scored series and print about \$2 below the active Brent contract and about \$1 below the active WTI contract (COA, CLA) that the press quotes as 'Brent' and 'WTI'. Both are published here. **Scoring.** Six channels, each 0–5, summed to 0–30. Two event channels — maritime denial and escalation risk — and four market channels. **Market channels move only on confirmed closes, never on intraday prints.** This discipline has repeatedly prevented wrong calls, most recently on 5, 6 and 7 August. **Hysteresis is asymmetric by design:** a channel is upgraded on a sustained break of its trigger and downgraded only on a sustained reversal past a wider threshold. The consequence is visible in this edition and is not a defect: **the 5Y5Y level whose sustained break fired the US-inflation channel to 5 on 31 July was broken to the downside on 13 August, and the channel did not move, because the documented downgrade sits 16.74 bp lower.** That rule was not amended when the trigger broke, which is why nothing needs amending now that it has un-broken after a single close. A symmetric trigger would have produced a downgrade on Thursday and an upgrade on Friday.

The saturated scale. Five of the six channels are at 5; only oil, at 2, is not. The composite therefore cannot register further deterioration in the strait, and — as the last edition demonstrated — cannot register improvement in the financial complex either. **A flat 27 does not mean a stable situation; it means the instrument has run out of range in both directions.** Readers should attend to the composition and to the distance-to-trigger figures, which are reported in basis points and dollars precisely so that movement inside a frozen total remains visible. Only the oil channel, at 2 of 5, retains headroom.

Sourcing. Every factual claim carries an attribution. Iranian, Russian and other state media are labelled Tier 3 and are corroborated against Tier 1 before being used for anything that could move a score. **'Not found' is recorded as a finding rather than filled with an estimate,** and negative claims are re-verified against the primary source on every edition in which they are repeated. Where independent trackers give different transit counts — as they routinely do, because they count different vessel universes — every figure is published with its own baseline named, and no average is taken.

Anchors and triggers in force. Pre-war reference is the 27 February 2026 close, re-verified field by field this edition and unchanged: Brent \$72.48 · WTI \$67.02 · 2Y 3.375% · 5Y 3.502% · 10Y 3.938% · 30Y 4.611% · 2s10s +55.64 bp · 5Y5Y 2.142% · 10Y breakeven 2.2569% · MOVE 73.38 · VIX 19.86 · DXY 97.608 · gasoline (AAA all-grades) \$3.52 · Henry Hub \$3.06 · TTF €31.23 · Asia LNG ¥1,669. Live triggers: oil to 3 on sustained closes above \$95 and to 1 on a mediated pause with a close at or below \$72.48; US inflation to 4 on sustained closes at or below 2.142%; Treasury to 4 on a 30-year close under 5.00% together with MOVE under 75, sustained; political stress to 4 on three consecutive AUTMUSAG closes at or below \$4.60 with no intervening print above \$4.70. **The dual gasoline series are not re-based:** AUTMUSAG (AAA all-grades, daily) is the scored reference and USFRUSA (DOE regular-grade, weekly) is corroboration only.

A note on the § references. Numbered references of the form \$9.n throughout this document point to the monitor's internal operating instructions and pitfalls register, which records every failure mode the process has hit since June and the rule adopted in response. They are not sections of this document.

Known limitations. The Singapore-morning cut misses part or all of the US session; the reconciliation gap is regime-dependent and has ranged from 13 cents to \$3.99 on Brent within a fortnight, and this edition's was \$1.29 with the 5- to 30-year sector 4.2 to 4.6 bp adrift. Series go dark for multiple sessions and backfill later, sometimes against the prevailing trend rather than with it. A row can fail to refresh entirely, and an individual field can carry forward inside an otherwise live row. Every one of these failure modes has occurred since 29 July, each is tested for explicitly on every run, and the results of those tests are published in this document rather than assumed.